Special Topics I: Trade and Industrial Policy

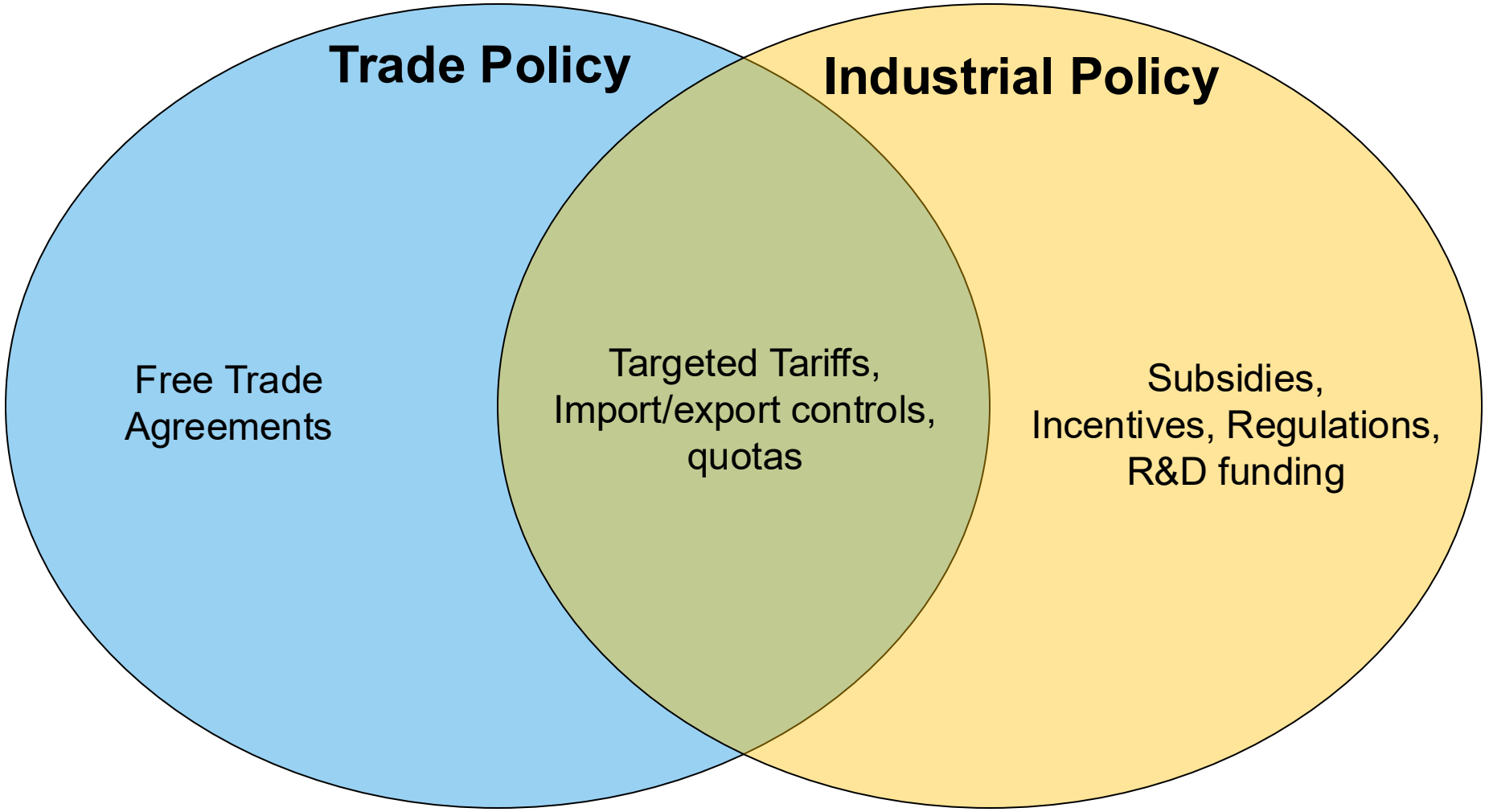
Global Macroeconomics for Managers (HBA 4505)

Professor Tony Frost

October 6, 2025

Trade and Industrial Policy: Overlapping domains

Both **trade policy** and **industrial policy** aim to shape a country's economic structure and competitiveness—trade policy by managing cross-border flows of goods and services, and industrial policy by directing resources and incentives toward strategic domestic sectors.



What's so good about free trade, anyway?

This was how the Harper government pitched CETA (trade deal with Europe) in 2013



- The government continues to quote a joint study…projecting a possible $12 billion boost to economic activity in Canada…and the creation of about 80,000 jobs.
- Trade Minister Ed Fast said that "if anything, the joint study underestimated the gains."
- "We believe that…the benefits of expanding the export opportunities for Canadian businesses with this preferential access to the lucrative European Union market will be even more widespread,

Selling the 2018 Trans-Pacific Trade Deal

The last major trade agreement we signed on to.



Minister Champagne introduces implementing legislation for the Comprehensive and Progressive Agreement for Trans-Pacific Partnership

From: Global Affairs Canada

News release

June 14, 2018 - Ottawa, Ontario - Global Affairs Canada

The CPTPP will provide Canadian exporters and investors across a broad range of sectors with preferential access to fast-growing markets in the Asia-Pacific region, including Japan, Malaysia and Vietnam.

What if I told you…

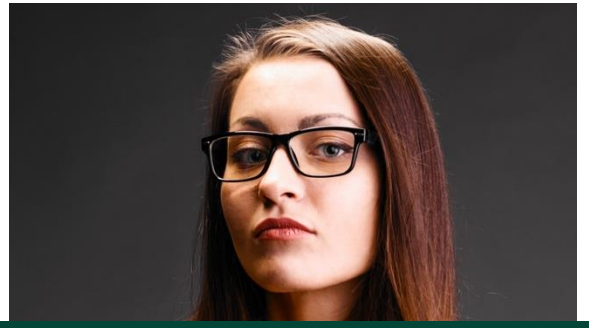
most economists believe the benefits of trade agreements come primarily from the import side, not the export side.

Politicians v. economists on the benefits of FTAs

Mo' exports, and mo' jobs too. Vamos, baby!



Idiot! The gains from trade come mostly from imports. Gawd.



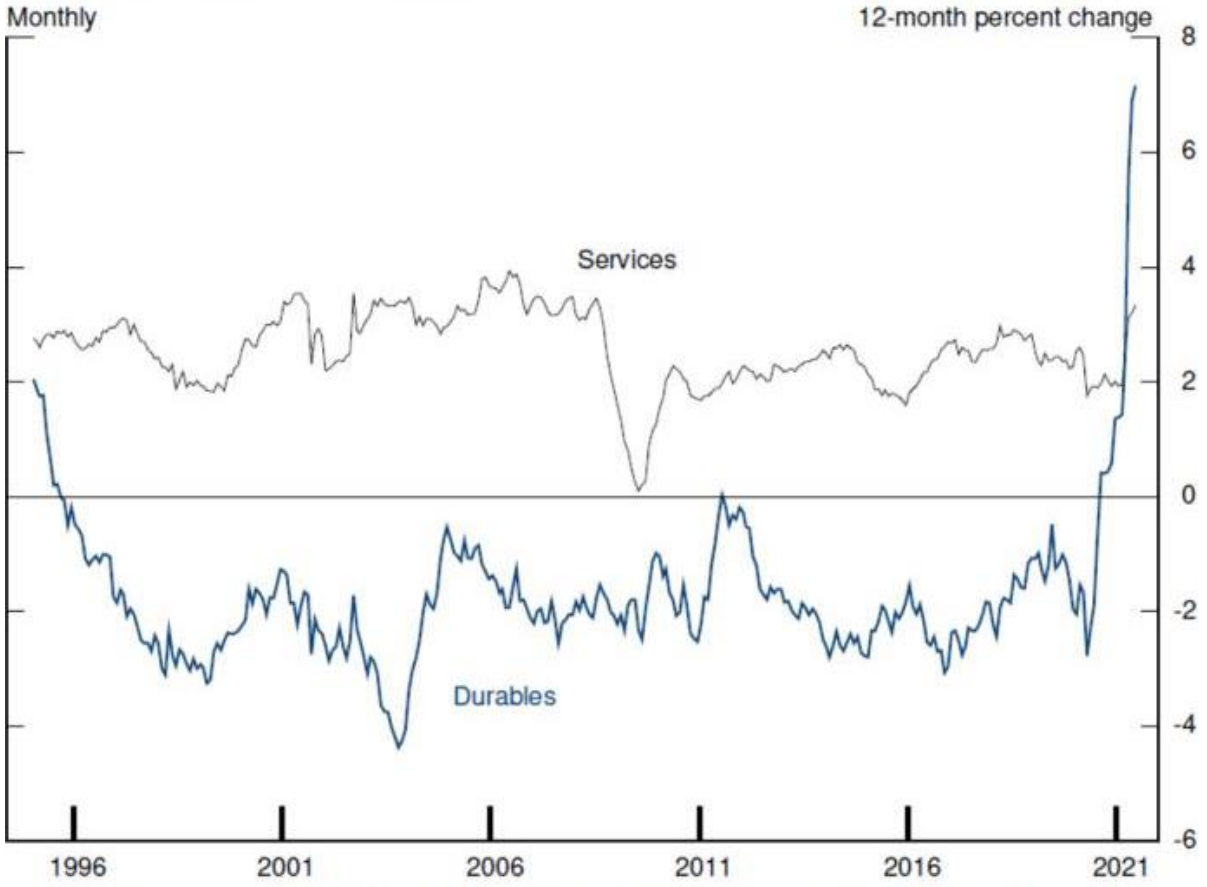
Classic trade theory (Ricardian, Heckscher–Ohlin, New Trade Theory) and empirical evidence (e.g., from NAFTA, EU Single Market studies) find that welfare gains come largely from *import liberalization*—the dismantling of domestic barriers that distort prices and resource allocation.

Exports, in this view, are mainly a means to pay for imports



Thank you, China (and trade/globalization generally)

As consumers, we have all benefited greatly from durable goods deflation – falling prices – during the era of globalization. This has greatly improved overall (average) living standards for people in rich countries like Canada and the US.

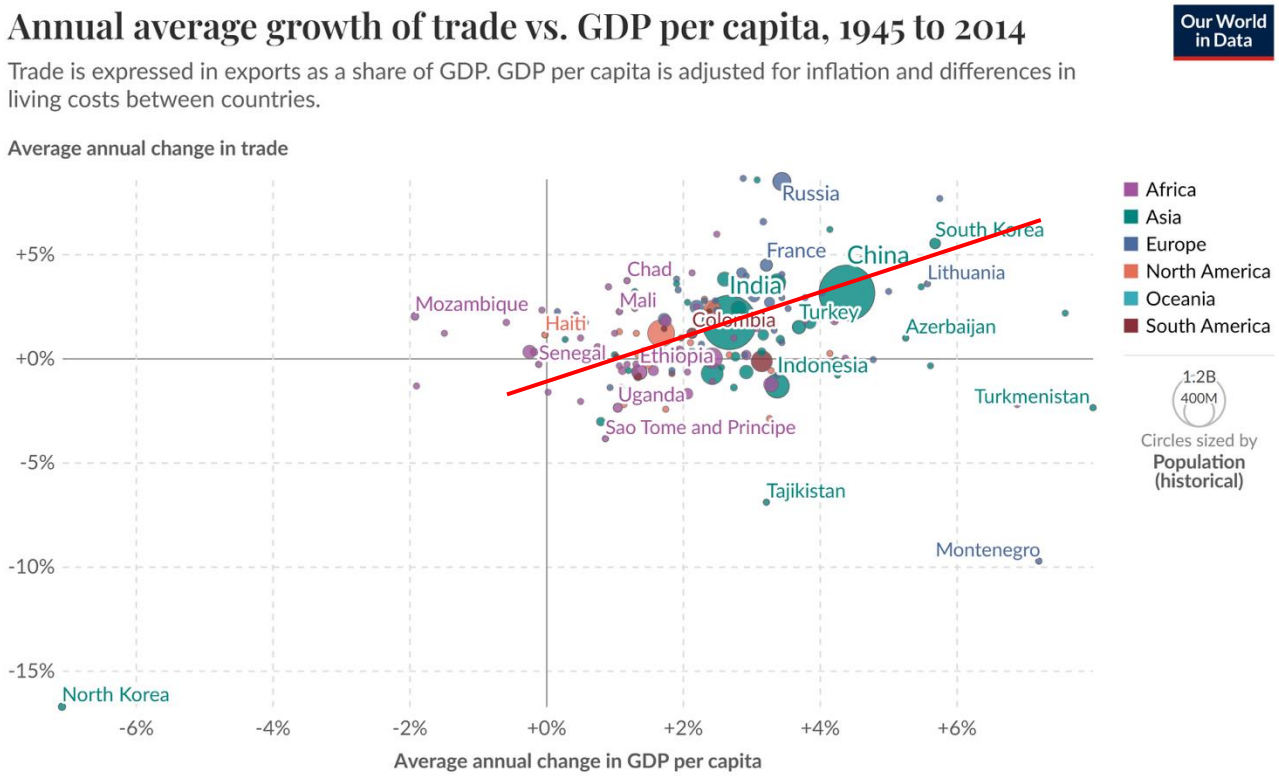


Note: The data are price deflators for personal consumption expenditures and extend through June 2021.

Source: U.S. Bureau of Economic Analysis.

Our focus: Does open trade promote economic growth?

Empirically, we see a pretty clear association (correlation) between trade and growth. But is it causal?



Data source: Fouquin and Hugot (CEPII 2016); Bolt and van Zanden - Maddison Project Database 2023

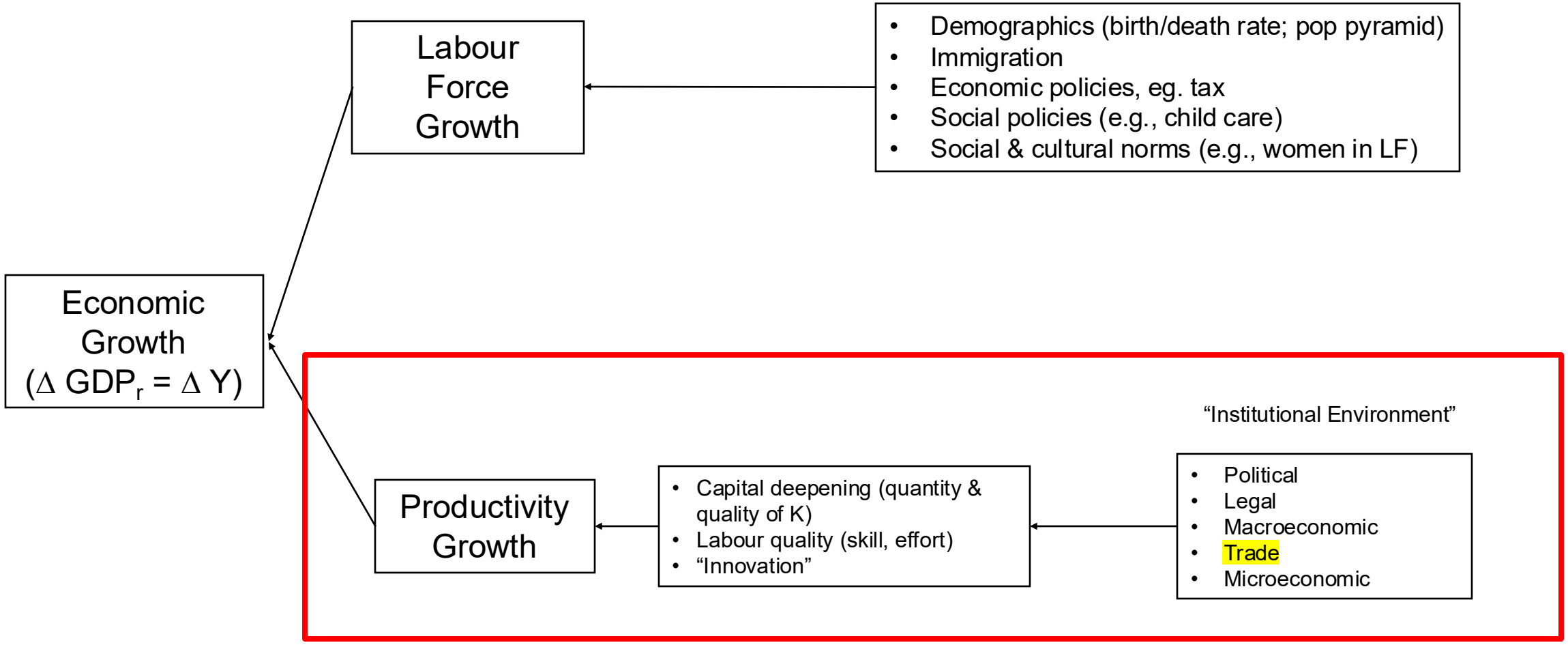
Note: GDP per capita is expressed in international-$[1] at 2011 prices.

OurWorldinData.org/trade-and-econ-growth | CC BY

1. International dollars: International dollars are a hypothetical currency that is used to make meaningful comparisons of monetary indicators of living standards. Figures expressed in constant international dollars are adjusted for inflation within countries over time, and for differences in the cost of living between countries. The goal of such adjustments is to provide a unit whose purchasing power is held fixed over time and across countries, such that one international dollar can buy the same quantity and quality of goods and services no matter where or when it is spent. Read more in our article: What are Purchasing Power Parity adjustments and why do we need them?

Trade in our growth model

A country's stance with respect to trade (and globalization) is an important aspect of its broad "institutional environment". Countries vary hugely in their embrace of trade. Canada presents a very mixed approach: low tariffs in most goods sit alongside huge tariffs (cheese!) in others.



8 ways trade is thought to foster economic growth

The classic theory of comparative advantage explains how trade can make countries better off by allowing a one-time, static gain in efficiency — a bigger pie. Modern theories, by contrast, are dynamic: they link openness to learning, scale, innovation, and institutional improvement, making trade a continuing driver of growth.

1. Creative Destruction / "Competitive Spur"
   - Trade accelerates the process of creative destruction by exposing firms to international competition. Local firms are forced to innovate or exit the market ("adapt or die"), leading to a more productive allocation of resources over time.

2. Specialization and Scale Economies
   - Openness to trade allows for greater specialization, enabling firms to take advantage of economies of scale. Firms' investment costs (R&D, factory setup) can be amortized over larger (global) markets, spurring investment and growth.

3. Infusion of New Ideas and Technology
   - Through trade and inward foreign investment, countries gain access to new technologies, ideas, and research, which stimulates innovation and R&D investments which boost productivity, leading to higher growth.

4. Importation of cheaper/better capital goods
   - Trade enables countries to import capital goods—such as advanced machinery, equipment, and technologies—at lower prices. These imported inputs often embody higher levels of innovation and efficiency than domestically produced alternatives, enabling firms to modernize their production processes and boost productivity.

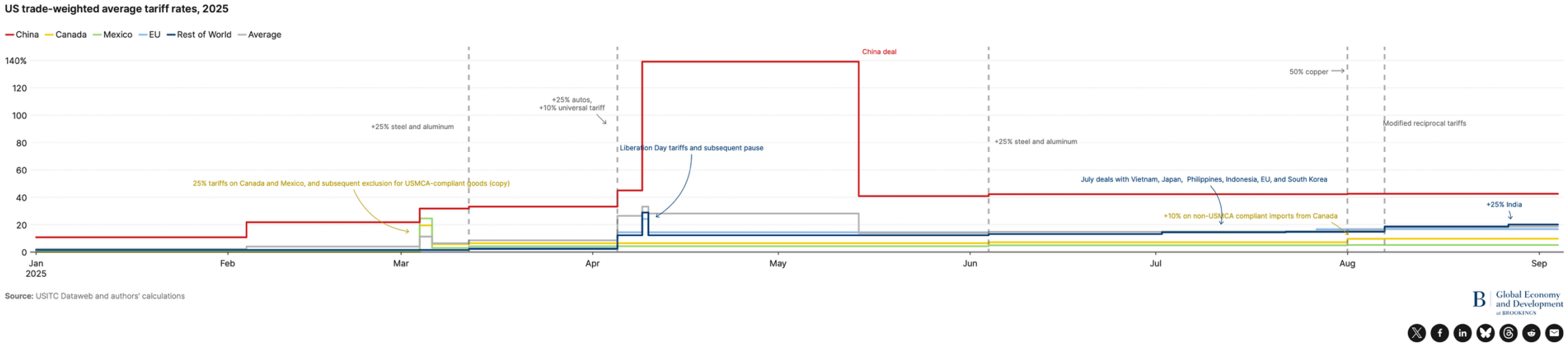
5. Learning by Doing and Learning by Exporting
   - Exporting firms learn from international customers and competitors, driving improvements in productivity over time. This creates spillover effects, as knowledge gained by exporting firms can diffuse domestically, spurring growth.

6. Participating in Global Value Chains (GVCs)
   - GVC participation allows countries to integrate into higher value-added segments of production over time, fostering learning and productivity gains. This allows them to leapfrog certain stages of industrial development, supporting faster economic growth.

7. Fostering Human Capital Development
   - As countries open up to trade, the need for skilled workers to handle more sophisticated technologies and processes rises, pushing up investment in education and skill formation, increasing labour productivity and long-term economic growth.

8. Trade/Globalization and Institutional Improvement
   - Trade and globalization introduce external scrutiny and competition for foreign investment. This can prompt governments to implement reforms that enhance institutional quality and improve a country's competitiveness.

Trump 2025: Free trade gets punched in the face



Source: USITC Dataweb and authors' calculations

B | Global Economy and Development at BROOKINGS

Ivey

Canada (and Mexico): protected by USMCA…for now.

Our overall tariff rate is still less than 10%, well below the global average of 17%. Thank USMCA (NAFTA). So far, most products covered by the USMCA have been excluded from tariffs.

The Americas | Trick or treaty

The deal shielding Mexico and Canada from trade oblivion

Donald Trump's tariff assault has been eroding the United States-Mexico-Canada Agreement

Save Share Summary



ILLUSTRATION: HARRY HAYSOM

Oct 2nd 2025 | MEXICO CITY AND OTTAWA | 6 min read

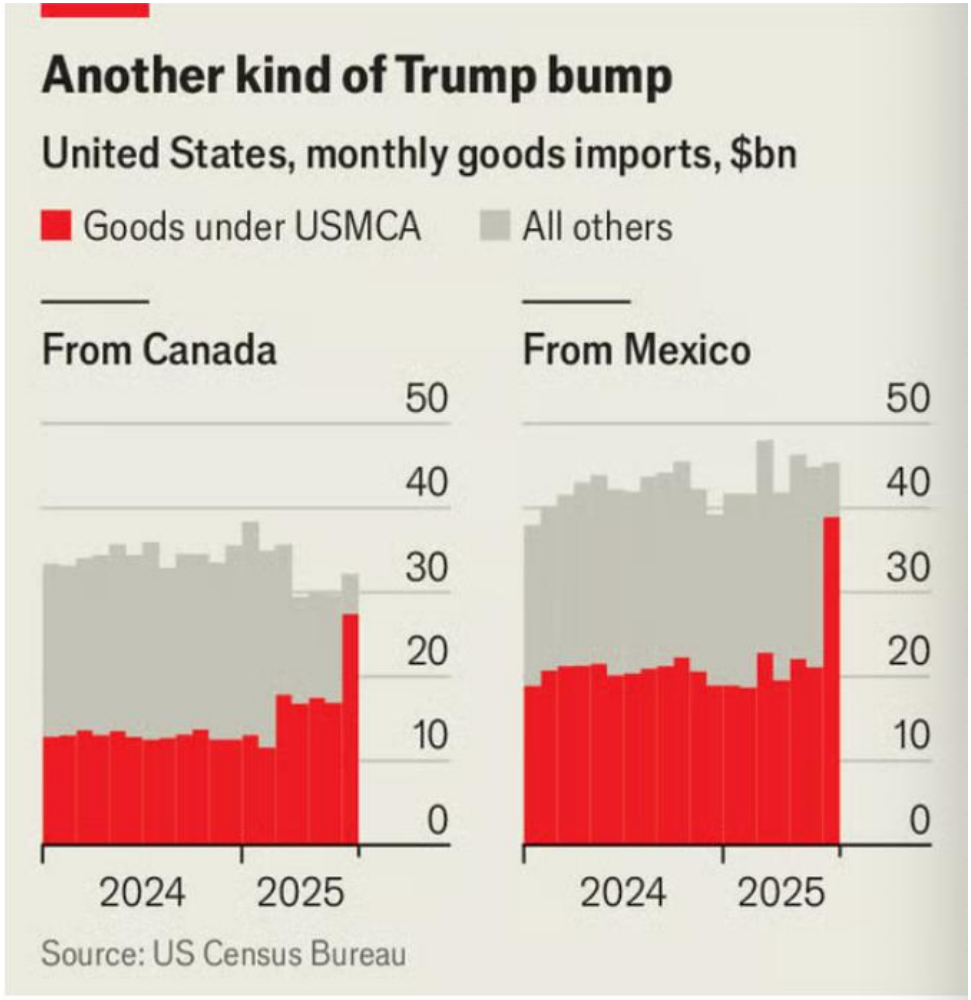


CHART: THE ECONOMIST

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The Americas | Trick or treaty

The deal shielding Mexico and Canada from trade oblivion



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Oct 2nd 2025 | MEXICO CITY AND OTTAWA | 6 min read

Whether the agreement is extended, rewritten or scrapped will define North America's economic future, particularly for Mexico and Canada.

The Economist
October 2, 2025

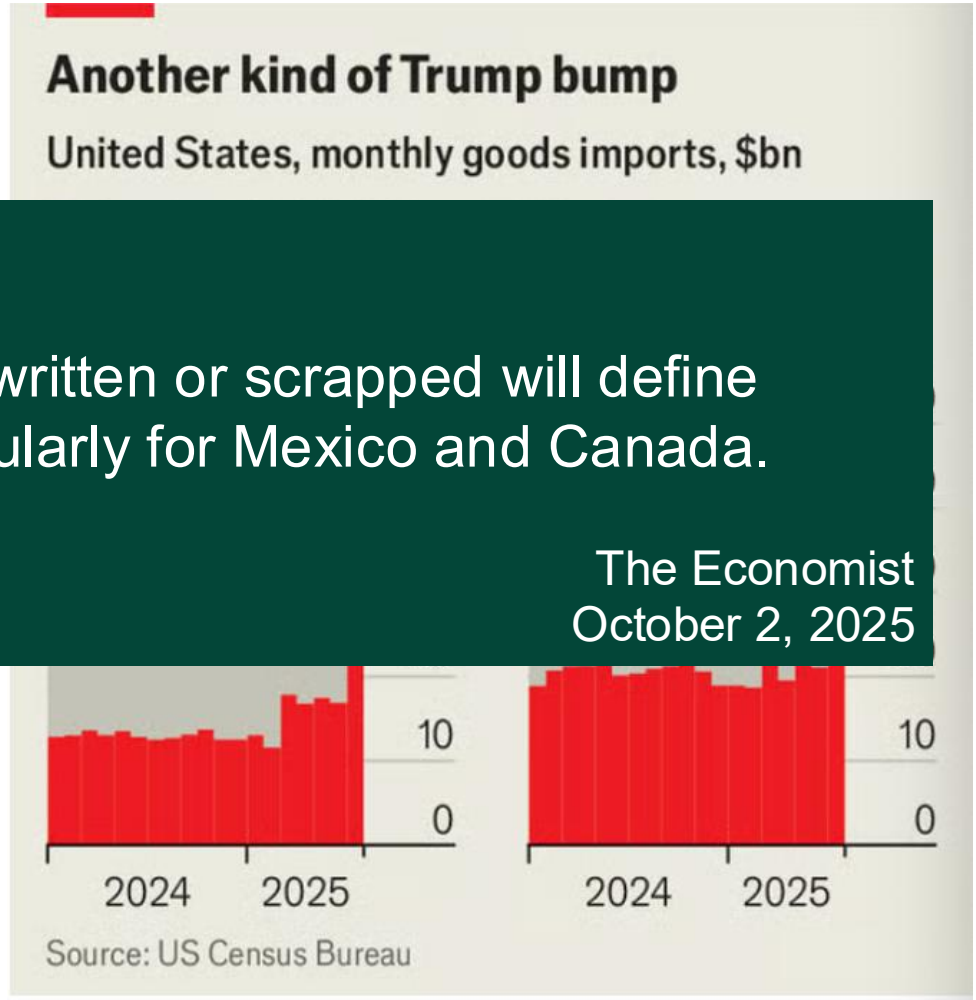


CHART: THE ECONOMIST

How tariffs cause economic harm

"Static" (one time) impacts, e.g., on prices, are believed by most economists to be modest in size. The bigger impacts are on-going and long term ("dynamic"), mostly relating to their damaging impact on productivity. The biggest downside risk factor is the possibility of retaliation leading to a trade war spiral.

Distortion Category	Likelihood	Magnitude	Notes
Static deadweight loss (production/consumption)	Certain	Low-to-moderate	Always present but small relative to GDP
Entrenchment of inefficient firms	High	High	Slows long-term productivity
Supply chain rewiring	Very High	High	Immediate cost spikes and long-term inefficiency
Investment distortion	High	High	Particularly harmful to manufacturing ecosystems
Lobbying / rent-seeking	Certain	Moderate	Political distortion, hard to reverse
Retaliation / trade war spiral	High	Extremely High	Most damaging in the short run
Inflationary impact	High	Low-to-moderate	Depends on scope of goods covered

Trump trade tantrum I (2018-19): What happened then

Higher prices, unintended consequences and a tsunami of lobbying for exemptions.

- U.S customers paid higher prices for the affected imported goods—in fact, prices that were often higher by the full amount of the tariff.
- Exports of U.S. manufacturers declined, since many exporters rely on imported intermediate inputs.
- Other countries responded with retaliatory tariffs which caused some U.S. exporters to substantially lower the prices they charged abroad to maintain foreign market share, lowering US firm profits.
- There was a political frenzy of appeals for exemption. A bewildering array of politically favored importers won tariff relief from the Trump administration. Small firms got screwed.


COMMENTARY OP-ED

Tariffs on all imports would create chaos for business

Wendy Edelberg and Maurice Obstfeld
October 7, 2024

Key takeaways:

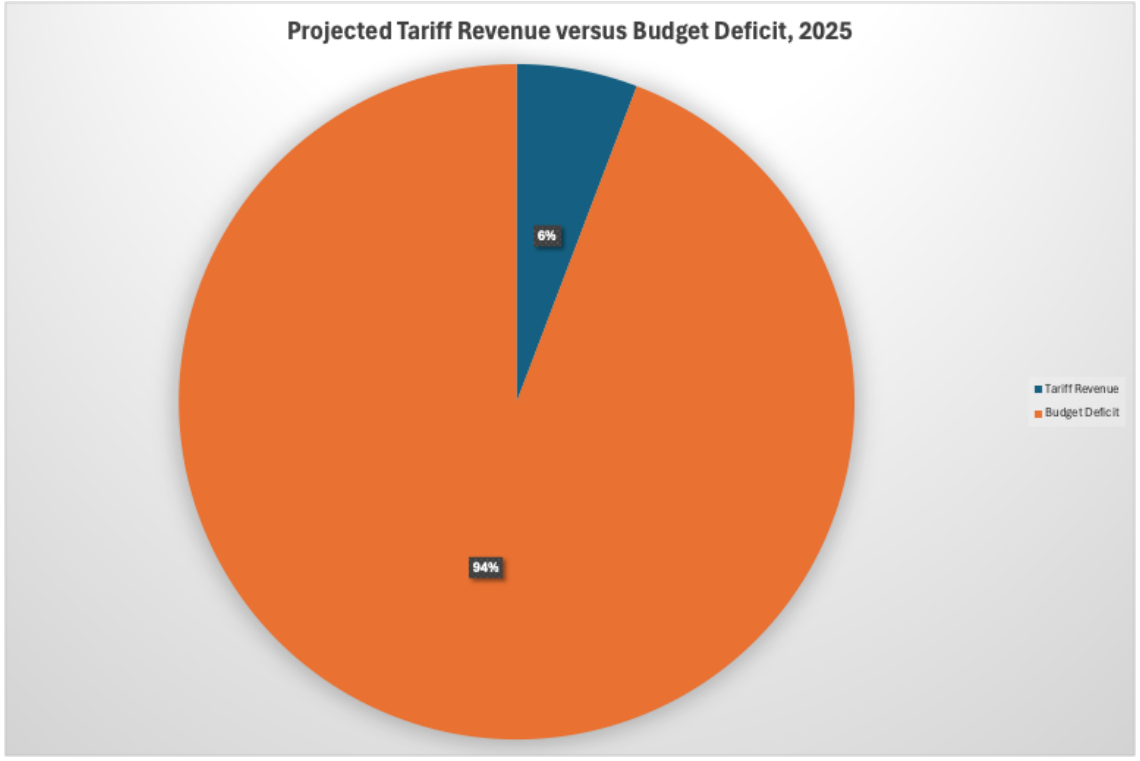
→ Experience shows and economists agree that tariffs lead to persistently higher prices for customers.

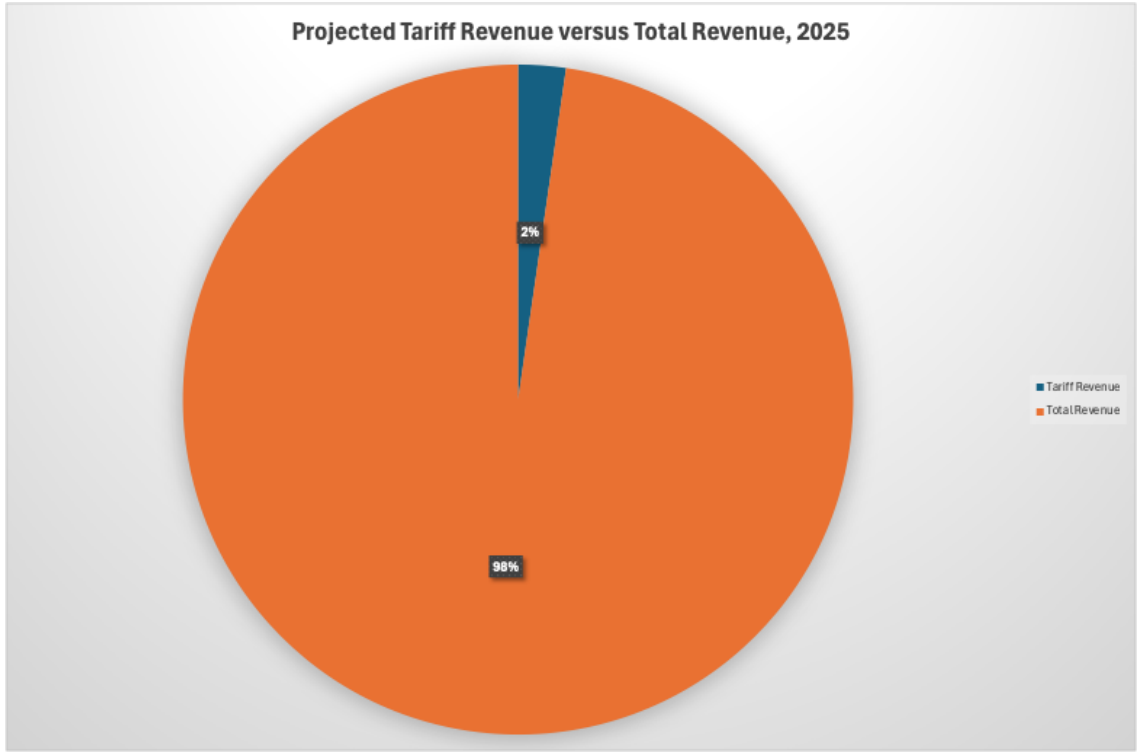
→ Wendy Edelberg and Maurice Obstfeld highlight a less visible cost of tariffs: near-term chaos as U.S. businesses scramble to renegotiate contracts, reconfigure supply chains, and lobby for exemptions.

Brookings (2024)

External Revenue Service

“It's possible we'll do a complete tax cut…I think the tariffs will be enough to cut all of the income tax.” DJT





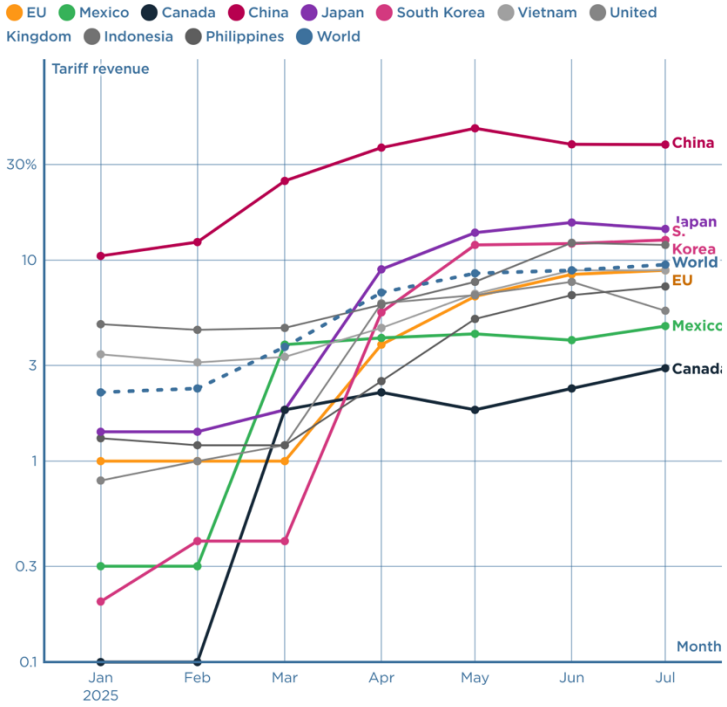
It’s “pay to play” in the USA

On both the import side (tariffs) and the export side (portion of revenues in exchange for export licenses)

Figure 2

How much tariff revenue is the US collecting on different countries' goods?

Monthly tariff revenue as percent of monthly total import value (CIF), by import sources, January 2025–July 2025



#PIIECharts

Learn more at piie.com/research/piie-charts

CIF = cost, insurance, freight

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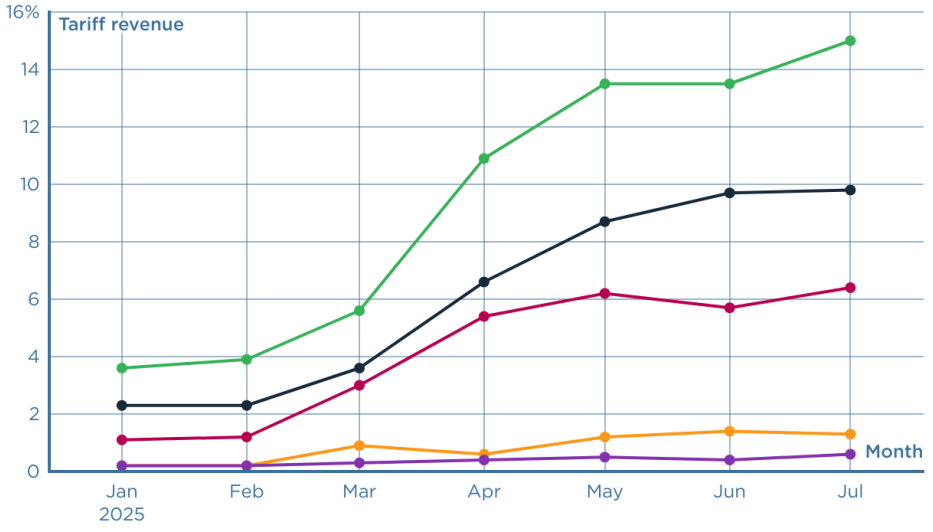
Notes: Tariff revenue data are calculated duties estimated by the United States International Trade Commission (USITC) (latest update in June 2025), based on US tariff rates and any special import statuses claimed by importers. The CIF value is the total cost paid to the foreign seller, insurance paid to cover the risk of loss in transit, and freight paid to the ocean shipping, air transport, or trucking firm.

Source: USITC DataWeb.

Figure 1

How much tariff revenue is the US collecting on different products?

Monthly tariff revenue as percent of monthly total import value (CIF), by major product categories, January 2025–July 2025



#PIIECharts

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CIF = cost, insurance, freight

PIIE

Notes: Tariff revenue data are calculated duties estimated by the United States International Trade Commission (USITC), based on US tariff rates and any special import statuses claimed by importers. Category follows Annex I of BEC (Rev.5) report. The CIF value is the total cost paid to the foreign seller, insurance paid to cover the risk of loss in transit, and freight paid to the ocean shipping, air transport, or trucking firm.

Source: USITC DataWeb. UNSD — Classifications on economic statistics.

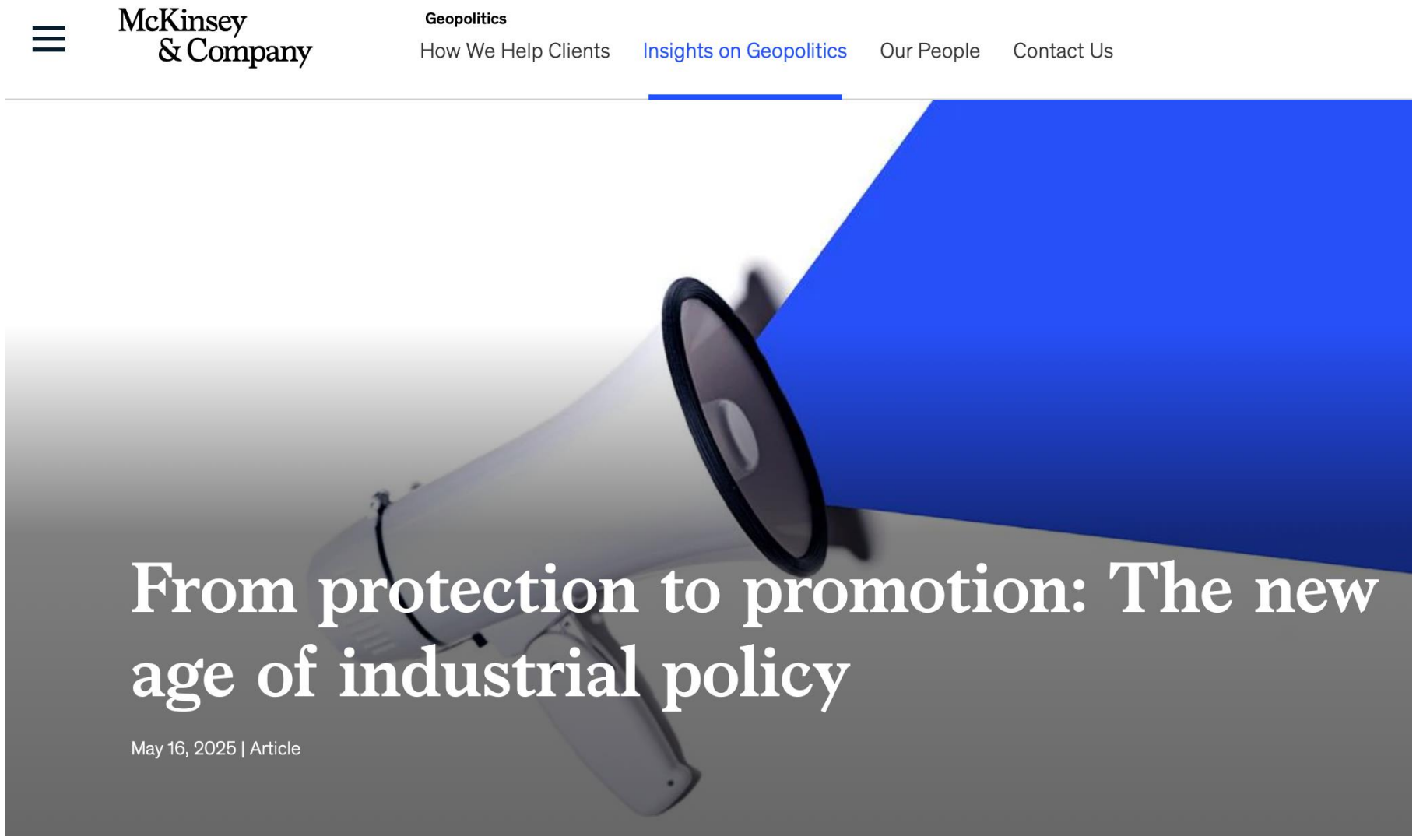
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Today's Agenda

1. Trade policy: the link to growth

2. Industrial Policy

Industrial policy: It's officially a trend…



Industrial policy: a primer

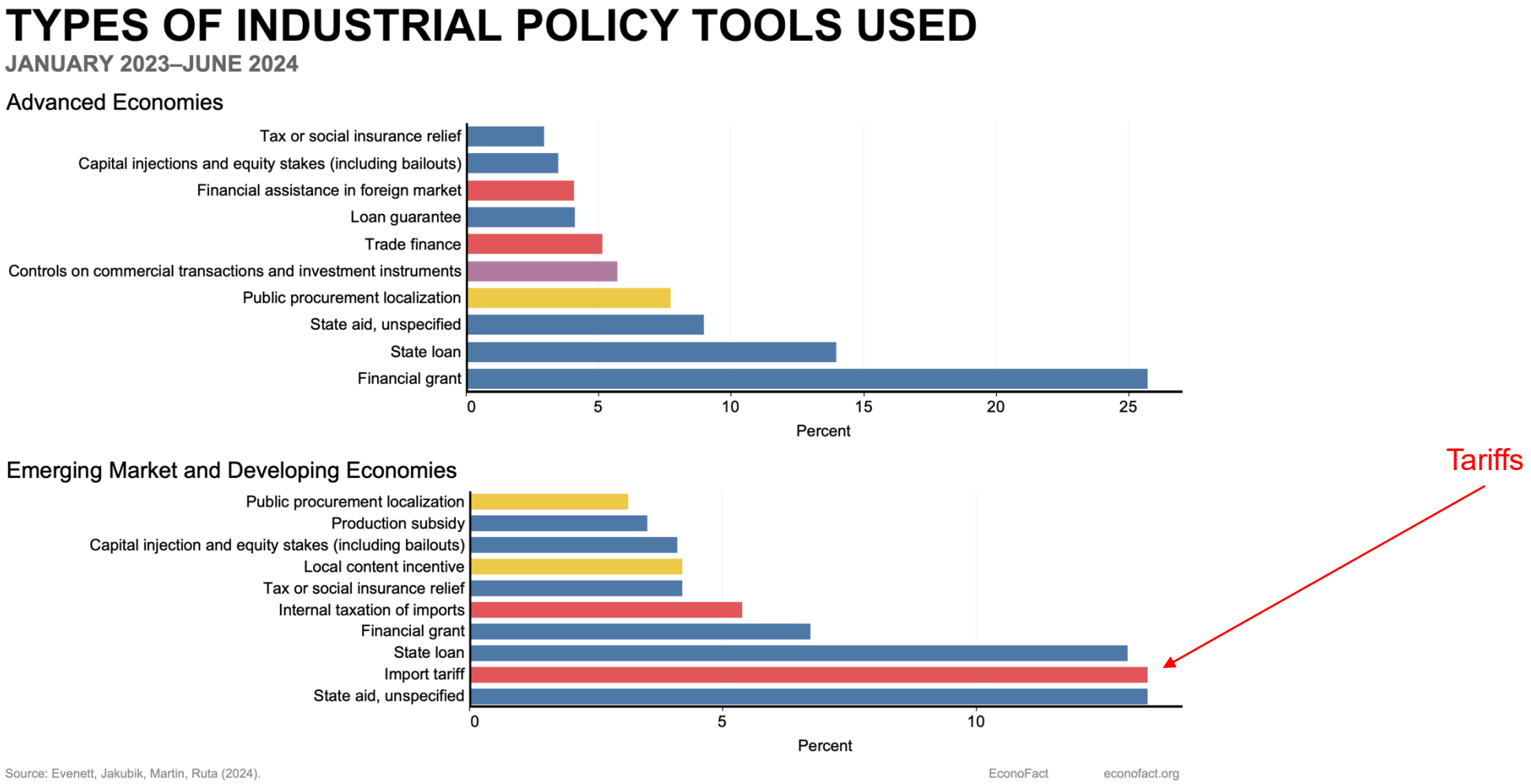
What is it, how does it work?

- Government policies that explicitly target changes in the structure of economic activity in pursuit of some public goal.
- A key characteristic of industrial policy is the exercise of choice and discretion by public authorities: "we promote X but not Y" (Y is often not specified).
- This happens primarily through incentives (subsidies, import protection, regulation) for firms to act in ways that promote the desired structural change.



Industrial Policy in the modern era

Direct subsidies ("grant", "aid") are popular in both AEs and EMs. Tariffs have been much more common in EMs, although that changed dramatically in 2025.



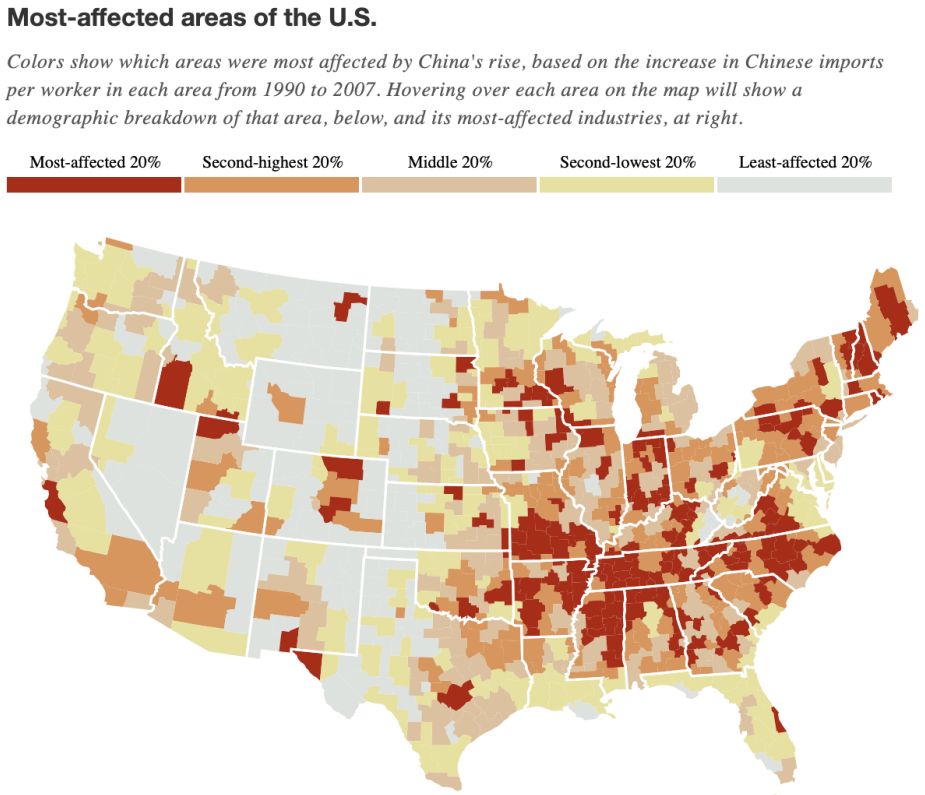
What is the motivation for the “new” industrial policy?

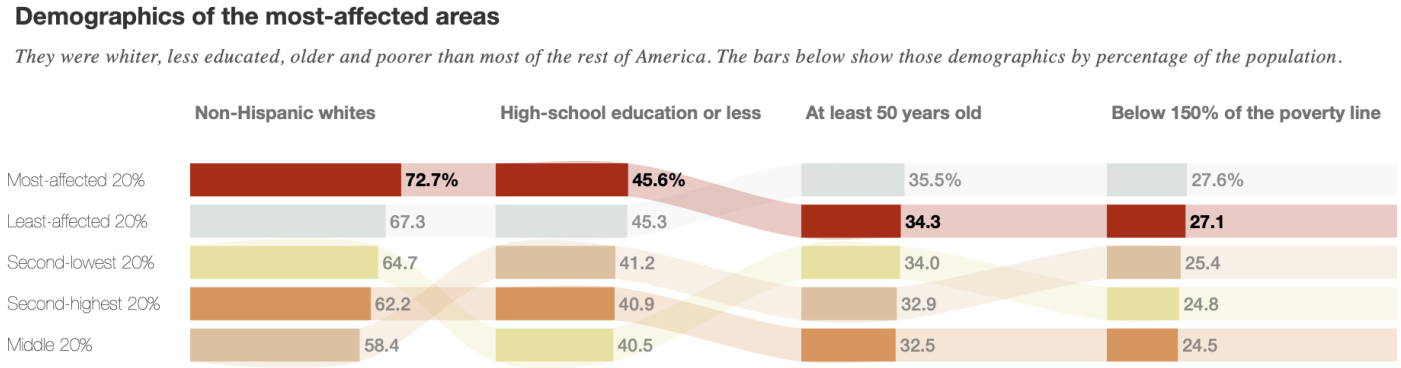
Governments everywhere are embracing the idea of sectoral promotion.

1. The failure of neo-liberalism to generate widely shared prosperity (inequality problem, “China Shock”)
2. Maintenance of technological leadership
3. Supply chain resilience (pandemic experience)
4. National security: deindustrialization as a security risk
5. Climate change (accelerate clean energy transition)

All/mostly China-related?

China shock*





The term **“China shock”** refers to the significant economic and labor market disruptions experienced by many countries, especially the U.S., as a result of the rapid rise of China as a major global manufacturing and export power after its entry into the World Trade Organization (WTO) in 2001, which led to a sharp increase in Chinese exports and the offshoring of manufacturing jobs .

“The policy that shall not be named”

Why do you think so many experts believe aggressive industrial policy is a bad idea?

The theoretical rationale for industrial policy

The economic logic of industrial policy lies not in "picking winners" but in correcting market failures – situations where markets, left alone, would fail to generate socially optimal patterns of production and investment

- Public goods
  - Markets underinvest because private firms can't capture all the benefits from providing them.
  - Scientific research, national security/emergency preparedness, law and order, basic infrastructure
- Externalities
  - Private firms often fail to account for the broader social benefits (or costs) of their activities and so they will tend to underinvest in those activities
  - Knowledge spillovers, workforce skills, "good jobs", environmental benefits.
- Agglomeration effects ("geographic clustering"):
  - Competitive markets tend to concentrate industries geographically -- maybe outside your borders!
- Strategic considerations
  - Infant industry rationale: temporary protection or support of an industry to allow learning and scale economies
  - Dynamic comparative advantage**:** governments can create/shape comparative advantage by helping domestic firms move up the value chain, build capabilities in "industries of the future"

Implementation problems have plagued industrial policy

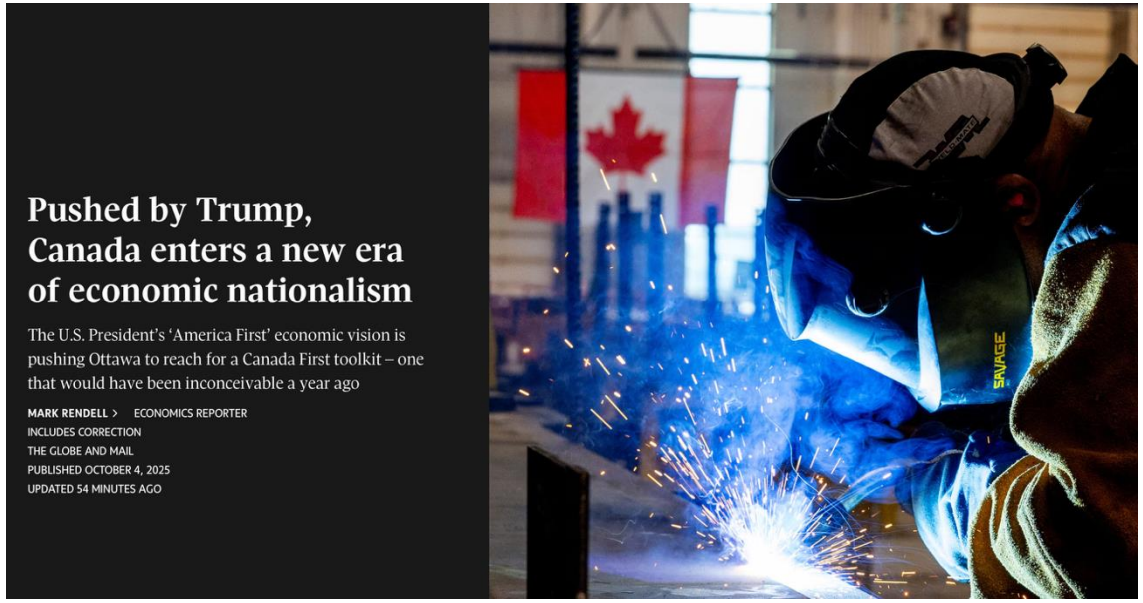
These often boil down to the dismissive mantra: “governments can’t pick winners”

- Information shortcomings
  - Real-world governments are unlikely to know enough about (often very specific) market failures to make correct decisions.
- Political capture
  - Industrial policy opens the door to self-interested lobbying and political influence activities, diverting the government into activities that enrich private interests without necessarily enlarging the social pie

The biggest practical challenge seems not to be whether governments can “pick “winners”, but whether they have (or can develop) the ability to let “losers” go. (Juhász, Lane, and Rodrik 2023)

What does superpower industrial policy mean for us?

Pray for the little guy…



We're moving from an age that lasted decades, an age when free trade was a motor of global economic growth, to a new age, an age of economic nationalism and mercantilism

Mark Carney
September 2025

3rd party impacts of superpower trade & industrial policies

For rich, but non-superpower countries like Canada, as well as for developing and emerging economies, the shift toward “economic nationalism” and the abandonment of an open, rules-based global trading system is bound to be harmful. We’re likely to be (mostly) innocent bystanders, perhaps forced to choose sides or risk isolation.

1. Trade disruptions & reduced market access for Canadian firms.
2. Decline in foreign investment as Canada is perceived as a riskier base for exporting to the US
3. Outward FDI by Canadian firms seeking to “jump” tariff walls; other ”buy local” policies in the US
4. Increased input costs (capital equipment, materials) ➔ higher costs, lower productivity
5. Possible acceleration of brain drain
6. More difficult for Canadian firms to scale ➔ loss of productivity and maybe investment
7. Fewer technological spillovers (“infusion” of ideas, knowledge into Canada)
8. Complexity and conflicts associated with navigating great power rivalry
9. Risk of isolation if we complain or retaliate too much